



HARAMAYA UNIVERSITY
COLLEGE OF BUSINESS AND ECONOMICS
DEPARTMENT OF MANAGEMENT
MODEL EXAMINATION

Exam weight :100%

Time allowed: 3:00 Hrs.

General Instruction:

- ✍ Write your Name and Id. No on the space provided below
- 👉 To make sure that you have the total page of 21 including the cover page
- 📖 Read each question carefully
- ⊗ Mobile phone is Strictly Forbidden
- 📖 Write your answer for on the attached answer sheet
- 📖 Clear and neat work is rewarded

STUDENT INFORMATION

NAME _____ **ID No** _____ **SECTION** _____

MULTIPLE CHOICE QUESTIONS (1.25 PTS EACH)

1. Your new business customers are the people or other businesses that want your products/ services and are willing to pay for them and they include the following, except;
 - A. People you hope will buy from you in the future.
 - B. Sales executives who facilitate marketing activities
 - C. People who are buying from you now.
 - D. People who stopped buying from you but you hope to get them back.
2. A sole proprietor locally owned and operated often by one person or individuals said to be;
 - A. Franchise
 - B. Personal Service Firm (PSF)
 - C. Proprietorship
 - D. Partnership
3. Suppose ABC Company is bankrupted since inputs and other materials of the company are stolen by the employees of the organization. Therefore, this case is equivalent with one of the following failure factor.
 - A. Unbalanced experience
 - B. Incompetence
 - C. Neglect
 - D. Fraud
4. All of the following forms of business have unlimited liability except the one
 - A. Sole proprietorship
 - B. Partnership
 - C. Corporation
 - D. A and B
5. Which concept explains social and managerial process by which individuals and groups obtain what they need and want through creating, offering, and exchanging products and services of value with other?
 - A. Production
 - B. Selling
 - C. Product
 - D. Marketing

6. In which of the following marketing philosophy Consumers favour products that are available and highly affordable?
- A. Selling philosophy
 - B. Marketing philosophy
 - C. Societal philosophy
 - D. Production philosophy
7. Which one is excluded from component of management information system?
- A. People
 - B. Software
 - C. Hardware
 - D. Data
8. Which levels of manager usually use transactional information for making decision or other managerial roles?
- A. Supervisory level manager
 - B. Operational level manager
 - C. Top level manager
 - D. Lower level manager
9. The tendency of systems to deteriorate over time, losing its homeostasis (state of equilibrium) is said to be
- A. Boundary
 - B. Cohesion
 - C. Entropy
 - D. Interface
10. A core component of marketing which refers to act of obtaining a desired object from someone by offering something in return:
- A. Market
 - B. Transaction
 - C. Market offers
 - D. Exchange

11. The difference between a product's perceived performances in delivering value relative to a buyer's expectation before a product is purchased. This statement refers to:
- A. Needs
 - B. Satisfaction
 - C. Value
 - D. None
12. ABC firm has engaged in providing discount for customers who make huge purchase of item and also the firm is planning to give a gift for customer who can buy products during the first month of the year, considering the firm marketing activity. So, what do you call this kind of promotion?
- A. Advertising
 - B. Sales promotion
 - C. Public relation
 - D. Personal selling
13. Organizational behaviour focus on three interrelated levels of analysis. Which ones?
- A. Emotions, intention and action
 - B. Planning, executing and result
 - C. Individual, group and organization
 - D. Thinking, feeling and doing
14. Individuals like Albert Einstein, and Steven Jobs, lead through which type of power?
- A. Legitimate power
 - B. Reward power
 - C. Expert power
 - D. Charismatic power
15. Which of the following is true regarding perception?
- A. Our perception of a target is not affected by the context of the situation in which the perception is made.
 - B. Perception of reality is independent of one's personality.
 - C. Our perception of reality is independent of our past experiences.
 - D. Our perception of reality can be different from the objective reality.

- E. We form a perception of a target by looking at in isolation.
16. The belief that “violence is wrong” is an evaluative statement. Such an opinion constitutes which components of attitude.
- A. Cognitive
 - B. Affective
 - C. Reflective
 - D. behavioural
 - E. Reactive
17. Which of the following are characteristics of emotion?
- A. Emotions are reaction to a person or event.
 - B. Emotions last for a longer time period than moods.
 - C. Emotions are never action- oriented in nature.
 - D. Emotions lack a contextual stimulus.
 - E. Emotions involve less intense felling than moods.
18. Which one of the following is **true** about theory Y of motivation? This style of management assumes that workers:
- A. Dislike their work.
 - B. Avoid responsibility and need constant direction.
 - C. Have to be controlled, forced and threatened to deliver work.
 - D. Need to be supervised at every step.
 - E. Self-motivated to complete their tasks
19. Select the **correct** statement regarding **interactionist** view of conflict in organization.
- A. It states that all conflict in organizations is inherently harmful and it must be avoided
 - B. It assumes that conflict is natural and inevitable so that, it must be accepted
 - C. Functional conflicts are necessary for groups to perform effectively and encouraged
 - D. All conflicts have dysfunctional outcomes.
20. Which stages of group development is characterized by high hostility and disagreement among individuals?
- A. Forming
 - B. Performing
 - C. Storming

- D. Norming
21. _____ is assertive and uncooperative intentions exhibited when a person strives to achieve his or her goal at the expense of the other party
- A. Avoiding
 - B. Competing
 - C. Collaborating
 - D. Compromising
22. Select **wrong** statement about **Goal-Setting** Theory.
- A. Specific goals produce a lower level of output than do generalized goals
 - B. In order for employees to successfully hit their goals, they need regular feedback.
 - C. When goal attainment presents a challenge, it leads to a higher level of motivation
 - D. Difficult goals energize employees
23. In staffing function, which combination of activities in sequential order is correct?
- A. Recruitment, selection, training, placement
 - B. Selection, training, recruitment, placement
 - C. Recruitment, selection, placement, training
 - D. Recruitment, training, selection, placement
24. The function of Management related to placing the right person at the right job is;
- A. Organising
 - B. Staffing
 - C. Planning
 - D. Controlling
25. Organizing as a function of management involves deciding
- A. What activities and resources are required
 - B. Who will do a particular task
 - C. Where will it be done
 - D. All of the above
26. Top management is concerned with formulation of
- A. Guidelines for supervisors.
 - B. Long-term plans.
 - C. Short-term plans.

- D. None of the Above
27. Suppose that **Meron** has received Birr 10,000 four years from now for the investment with 9% interest rate. How much money deposit today to receive the stated amount?
- A. 6789.19 Birr
 - B. 8976.78 Birr
 - C. 7092.19 Birr
 - D. 8887.23 Birr
 - E. None of the above
28. Suppose that **Mr.Ahmed** has deposit Birr 5000 at the end of each year for the coming six years at 10% interest rate. How much the balance in account at the end of two years?
- A. 11,200 Birr
 - B. 10,890 Birr
 - C. 11.320 Birr
 - D. 10,500 Birr
 - E. None of the above
29. Commercial banks are exposed to which of the following risks:
- 1. Credit risk
 - 2. Liquidity Risks
 - 3. Operating risk
 - 4. Regulatory risk
- A. 1 & 2 risks
 - B. All risks
 - C. 1 & 3 risks
 - D. 1 only risks
30. Suppose that QR detergent company total sales amount is Birr 2000,000 and the annual Gross profit amount is 20% of its sales. Accordingly, the birr amounts of total cost of goods sold is;
- A. Birr 1,400,000
 - B. Birr 1,382,300
 - C. Birr 1,671,000
 - D. Birr 1,600,000
31. A type of business that organized as separate legal personal entity is;

- A. Corporation
 - B. Proprietorship
 - C. Franchisee
 - D. Partnership
32. The main difference between stocks and bonds?
- A. Stocks give you partial ownership in a corporation
 - B. Bonds represent a company's debt which must legally be paid back
 - C. Bonds are a loan from you to a corporations or government but stock is ownership
 - D. All of the above
33. Suppose the firm annual demand is 8500 Units. The firm purchase each item at Birr 55, the holding cost per item is Birr 6 and the cost of receiving and negotiating supplier's per order to be Birr 70. Accordingly, how many orders per year should be placed and How many items order at a time respectively?(hint: use two decimal approximate number)
- A. 19 orders/year and 445 Units
 - B. 31 orders/year and 488 Units
 - C. 45 orders/year and 488 Units
 - D. 50 orders/year and 509 Units
34. Too much or too little inventory implies;
- A. Adversely affect the firm's cash flows and liquidity position
 - B. Failing to meet customer needs
 - C. Inefficient production
 - D. All of the Above
35. When the firm's carrying cost Increases;
- A. Ordering cost increase at increasing rate
 - B. Storage cost increase at increasing rate
 - C. Ordering cost decrease at decreasing rate
 - D. Having Excessive safety stock
36. Suppose that the firm to buy each items Birr 12 each and makes direct materials, direct labour and variable overhead costs are Birr 6, 4 and 3 per items respectively. The annual fixed cost birr 10,000 for all decisions. Demand over the next year is estimated at 2000 units. Which decision is accepted?

- A. Making decision is accepted and total cost of making equals to 24,000 Birr
 - B. Buying decision is accepted and the total cost is 34,000 Birr
 - C. Making decision is accepted and total cost of making equals to 44,000 Birr
 - D. Making decision is accepted and total cost of making equals to 34,000 Birr
37. Suppose that the company wants to produce product finished product F. Product F consists of 4 units of part G, and 2 units of Part H. Part G consists of 5 unit of Part I and 2 units of Part J. Assume that product F net requirement are 78. What would be the amount of part G and part H.?
- A. 234 and 345 respectively
 - B. 312 and 156 respectively
 - C. 345 and 234 respectively
 - D. 123 and 144 respectively
38. An integrated system of programs that manages the operations of the CPU, controls the input/output and storage, manages files on computer hard drives and controls computer peripherals is;
- A. Operating system
 - B. Programming language
 - C. Application software
 - D. File processing
39. The type of system and its functions that involved the recruitment, placement, evaluation, compensation, and development of the employees of an organization.
- A. Financial information system
 - B. Marketing information system
 - C. Manufacturing and production information system
 - D. Human resource information system
40. The difference between front and back office systems is
- A. Front office systems are external systems, back office systems are internal
 - B. Front office systems are web based, back office systems are built on database systems
 - C. Front office systems process information at the beginning of a customer's transaction, back office systems process information at the end of a customer's transaction
 - D. Front office systems focus on getting the sales, back office systems focus follow up

41. Management information systems usually
- A. Serves managers interested in weekly, monthly and yearly results
 - B. Provides managers with general computing and telecommunication
 - C. Help managers take decisions that are unique and not easily specified
 - D. Perform and record the daily routine transactions
42. A constraint in an LP model restricts;
- A. Value of the objective function
 - B. Value of the decision variable
 - C. Use of the available resources
 - D. All of the above
43. The linear function of the variables which is to be maximize or minimize is called
- A. Constraints
 - B. Objective function
 - C. Decision variable
 - D. None of the above
44. Mathematical model of Linear Programming is important because
- A. It helps in converting the verbal description and numerical data into mathematical expression
 - B. Decision makers prefer to work with formal models.
 - C. It captures the relevant relationship among decision factors.
 - D. It enables the use of algebraic techniques.
45. One of the following is concerned with obtaining proper kind and number of human resources necessary to accomplish organizational goals
- A. Development
 - B. Placement
 - C. Procurement
 - D. All of the above
46. A group of similar tasks and responsibilities assigned to one individual. The term is used in this narrow technical sense to facilitate more precise discussion of the job analysis techniques;
- A. Occupation
 - B. Task

- C. Job
 - D. Position
47. A process that is concerned with securing and employing the people possessing required kind and level of human resources necessary to achieve the organizational objectives is called
- A. Maintenance function
 - B. Training function
 - C. Acquisition Function
 - D. All of the above
48. Which one of the following statement is **false** about societal/ legal objectives of human resource management?
- A. Profit for business organizations
 - B. Satisfy users and owners for non-business organizations
 - C. Ensure the continuous flow of competent work force and their contributions to the fulfilment of organizational objective
 - D. All of the above
49. In _____ the leader avoids making decisions whenever possible and leaves it up to subordinates to make individual decisions with little guidance either from the leader or from the rest of the group
- A. Authoritarian
 - B. Democratic
 - C. Laissez-faire
 - D. A & C
50. one of the following takes past incidents of good and bad behaviours and organizes incidents into categories that match the jobs they related to
- A. Observation
 - B. Critical incident technique (CIT)
 - C. Questionnaire
 - D. B & C
51. One of the following involves changes in the scope of a job so as to provide greater variety to the worker. It provides a horizontal expansion of duties
- A. Job design

- B. Job Enrichment
 - C. Job Enlargement
 - D. All of the above
52. _____ is a grouping of jobs on some specified bases such as the kind of work or pay.” For example, police, a clerk, a teacher, and engineer, a chemist
- A. Job description
 - B. Job specification
 - C. Job classification
 - D. A & B
53. One of the following is not primary sources of data collection
- A. Documentations
 - B. Survey
 - C. Observation
 - D. Questionnaire
54. A directed finding of published works which includes books and periodicals and it discusses theory and presents empirical results relevant to the topic at hand is known as
- A. Pilot Study
 - B. Methodology
 - C. Literature Review
 - D. Experiment
55. Which of the following is the first step in starting the Research process?
- A. Searching sources of information to locate problem.
 - B. Survey of related literature
 - C. Identification of problem
 - D. Searching for solutions to the problem
56. Action Research means;
- A. It is longitudinal Research
 - B. It is an applied Research
 - C. It is the research that initiated to solve an immediate problem
 - D. It is the research with socioeconomic objective

57. Which of the following one is not the major element of leadership process?
- A. Formulating strategic vision
 - B. Communicating vision to others
 - C. Building trust through the existing process
 - D. Demonstrating only the means as goal achievement way
58. Which of the following statement regarding followership is not true?
- A. Alienated follower: Isolated individuals both for good and bad things
 - B. Sheep followers: Those followers who do not think independently and are passive in their behaviour
 - C. Yes followers: Those who do not think independently yet they are active in behaviour
 - D. Active followers: Those who have a motto of “ Better safe than sorry”
59. All of the following is referred to as new trends in leadership except, identify the unique one.
- A. Leadership competencies must be renewed
 - B. Leadership must be globalized
 - C. Leadership should evolve as a process
 - D. Leadership should evolve as the ends of the goal
60. The statement made by Professor Lumumba of Kenya “In Africa corruption has killed people more than civil war” indicates about the following except one?
- A. The negative impact of corruption on basic infrastructure of society such as roads, schools and electric utility
 - B. The drawback of corruption on creating employment opportunities for young population.
 - C. The enrichment of out figured individuals who hold public offices for achieving Millennium development goals (MDG's).
 - D. To indicate money laundry's effect on legal and taxable income of nations.
61. Which school of thought regarding conflict perceives that conflict is totally unnecessary and evil character of human beings?
- A. Traditional thought
 - B. Humanistic school of thought
 - C. Interactions school of thought
 - D. None of the above

62. No two individuals are alike even twins are not appeared to be the same. This implies or what aspect of people's behaviours.
- A. Individual difference
 - B. Attitude
 - C. Nature
 - D. Nurture
 - E. None of the above
63. Which of the following is not an instance of terminal values?
- A. world of peace (free of war and conflict)
 - B. A world of beauty (beauty of nature and the arts)
 - C. Equality (brotherhood, equal opportunity for all)
 - D. Courageous (standing up for your beliefs)
64. Which methods of conflicting resolution technique address the basic assumption of having "win- win solution" between or among conflicting parties?
- A. Avoidance
 - B. Competition
 - C. Accommodation
 - D. Collaboration
65. Power can be distinguished from leadership mainly through the following except one?
- A. Power does not require goal compatibility, merely dependence whereas Leadership requires some congruence between the goals of the leader and those being led.
 - B. Leadership focuses on the downward influence over one's followers but Power is concerned with all directions of influence.
 - C. Leadership research tends to emphasize the style leaders take whereas Power research looks at the power exerted by individuals, as well as that used by groups.
 - D. Leadership research tends to emphasize the power exerted by individuals, as well as that used by groups whereas Power research looks at the style leaders task
66. The linear equation of points (16, 20) and (20, 28) is _____.
- A. $2x - y = 12$
 - B. $y = 2x + 12$
 - C. $x = 2y - 12$

D. $2y - x = 12$

67. Sarah Juice has calculated that it has fixed costs of Birr 160,000, variable costs have been calculated to be Birr 40 per juice (600 ml) and the juice is priced at 60 each. The number of juices which must be sold in order for the cafe is to be at breakeven is _____.

- A. 800 units
- B. 8000 units
- C. 6000 units
- D. 600 units

68. If A' is transpose of matrix A , and B is another matrix, which of the following is not true?

- A. $5 \times A' = (5A)'$
- B. $A' + B' = (A + B)'$
- C. $A' \times B' = (A \times B)'$
- D. $A' + B' = (A' + B')'$
- E. The transpose of A' is always equal to A

69. Mr. Zergaw makes an initial deposit of birr 50,000 for a period of 4 years. If the investment earns the return of 8% per year compounded semi-annually, what is the value of the deposit after the four years?

- A. Birr 80,421.86
- B. Birr 68,024.45
- C. Birr 68,428.45
- D. Birr 271,308.89

70. Based on the following LPP, the value of $x_1 \wedge x_2$ using graphic method, respectively, are:

$$Z_{Max}: 30x_1 + 40x_2$$

Subject to:

$$2x_1 + x_2 \leq 10$$

$$x_1 + x_2 \leq 7$$

$$x_1 + 2x_2 \leq 12$$

$$x_1, x_2 \geq 0$$

- A. 2 and 4
- B. 25 and 27
- C. 2 and 5
- D. 11 and 15

71. HrU registrar office claims that the attrition rate of students in the university is below 6%. Out of 500 randomly selected students 460 of them completed their education. If α is 5%, answer the following 3 questions. The null and alternative hypotheses, respectively, are_____.

- A. $P = 0.06$ & $P \neq 0.06$
- B. $P = 0.06$ & $P < 0.06$
- C. $P \geq 0.06$ & $P < 0.06$
- D. $P \leq 0.06$ & $P > 0.06$

72. Based on the above equation, Z calculated value is _____.

- A. 2.66
- B. -1.89
- C. 1.89
- D. -1.67

73. Suppose Umi Baltna PLC has two production systems, XY and YZ. The owner of the PLC suggested that XY system is more productive than YZ concerning average productivity in terms of units per hour. For a sample of 32 working days in XY, the average productivity is 20 and the standard deviation is 5. For a sample of 34 working days in YZ the average productivity is 23 and the standard deviation is 6. If the distribution is normally distributed and α is 1%, answer the following 3 questions. The null and alternative hypotheses, respectively, are _____.

- A. $\mu_1 = \mu_2$ & $\mu_1 \neq \mu_2$
- B. $\mu_1 \geq \mu_2$ & $\mu_1 < \mu_2$
- C. $\mu_1 \leq \mu_2$ & $\mu_1 > \mu_2$
- D. $\mu_1 = \mu_2$ & $\mu_1 > \mu_2$

74. On the basis of the above data, Z calculated value is _____.

- A. 2.21

- B. -2.21
- C. 1.67
- D. -1.67

75. Sampling method is more desired for the following reasons; except:

- A. When the population is very large
- B. When quick results are required
- C. To minimize the gap between the parameter and the statistics.
- D. To minimize destruction

76. Simplex solution for X_1 and X_2 respectively; are:

$$\text{Max: } 8X_1 + 5X_2$$

Subject to

$$2X_1 + 1X_2 \leq 1000$$

$$3X_1 + 4X_2 \leq 2400$$

$$X_1 + X_2 \leq 700$$

$$X_1 - X_2 \leq 350$$

$$X_1 \text{ and } X_2 \geq 0$$

- A. 750 and 660
- B. 320 and 360
- C. 450 and 320
- D. 320 and 450

77. Consider the following problem with: 4 decision alternatives in relation to stations with different size and 3 states of nature with the following payoff table representing profits (Birr)

Station	State of Nature		
	Good Market	Fair Market	Poor Market
Small	50,000	20,000	-10,000
Medium	80,000	30,000	-20,000
Large	100,000	30,000	-40,000
Very large	300,000	25,000	-160,000

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What is the best alternative under EMV?

- A. Small
- B. Medium
- C. Large
- D. Very large

78. A company manufacturing plant and equipment for chemical processing is in the process of quoting tender called by public sector undertaking. Help the manager to find the project completion time to participate in the tender.

S. Mo.	Activity	Immediate Predecessors	Time/days
1	A	—	3
2	B	—	4
3	C	A	5
4	D	A	6
5	E	C	7
6	F	D	8
7	G	B	9
8	H	E, F, G	3

The critical path_____.

- A. A C E H
- B. A D F H
- C. B G H
- D. A B G H

79. Suppose ELPA has three electric power plants that supply the electric needs of four cities. The associated supply of each plant and demand of each city is given in the table below.

<i>From</i>	<i>To</i>				<i>Supply (Million kwh)</i>
	<i>City 1</i>	<i>City 2</i>	<i>City 3</i>	<i>City 4</i>	
<i>Plant 1</i>	\$8	\$6	\$10	\$9	35

Plant 2	\$9	\$12	\$13	\$7	50
Plant 3	\$14	\$9	\$16	\$5	40
Demand (Million kwh)	45	20	30	30	

According to North West Corner method, the allocation for the cell which intersect Plant 2 and City 3 is:

- A. 50
- B. 40
- C. 20
- D. 0

80. Eco Engineering has four jobs to be completed. Each machine must be assigned to complete one job. The time required to setup each machine for completing each job is shown in the table below.

	Time (Hours)			
	Job 1	Job 2	Job 3	Job 4
Machine 1	14	5	8	7
Machine 2	2	12	6	5
Machine 3	7	8	3	9
Machine 4	2	4	6	10

Job 4 to be assigned for:

- A. Machine 1
- B. Machine 2
- C. Machine 3

D. Machine 4

ANSWER SHEET: MULTIPLE CHOICE (1.25PTS EACH)

No		Answers			
1.		28		55	
2.		29		56	
3.		30		57	
4.		31		58	
5.		32		59	
6.		33		60	
7.		34		61	
8.		35		62	
9.		36		63	
10.		37		64	
11.		38		65	
12.		39		66	
13.		40		67	
14.		41		68	
15.		42		69	
16.		43		70	
17.		44		71	
18.		45		72	
19.		46		73	
20.		47		74	
21.		48		75	
22.		49		76	
23.		50		77	
24.		51		78	
25.		52		79	
26.		53		80	
27.		54			